

Advantage Products

	Advantage	Advantage Bank Statements	Advantage Plus
Maximum Loan Amount	\$3,000,000	\$3,000,000	\$3,000,000
Minimum Loan Amount	\$100,000	\$150,000	\$150,000
Minimum Credit Score	600 Representative score is lowest middle score of all borrowers	660 (for 80% LTV) Representative score is lowest middle score of all borrowers	660 Representative credit score is middle score of primary wage earner
Max LTV/CLTV	LTV/CLTV to 90%	LTV to 90%	LTV/CLTV to 90%
Loan Terms Offered	Fixed: 30 yr, 30 yr IO , 40 yr & 40 yr IO ARMs: 7/6, 7/6 IO, 10/6 & 10/6 IO	Fixed: 30 yr, 30 yr IO, 40 yr IO ARMs: 7/6, 7/6 IO (30 yr), 7/6 IO (40 yr)	Fixed: 30 yr, 15 yr, 30 yr IO, 40 yr IO ARMs: 7/6, 7/6 IO (30 yr), 7/6 IO (40 yr), 10/6, 10/6 IO (30 yr), 10/6 IO (40 yr)
Mortgage Insurance	Not required	Not required	Not required
Max cash out	LTV > 55% = \$500,000 LTV ≤ 55% = \$750,000	LTV ≥ 60% = \$750,000 LTV < 60% = Unlimited	LTV > 60% = \$750,000 LTV ≤ 60% = unlimited
Max DTI	Full doc with score ≥ 680 = 55% Alt Doc with score ≥ 680 = 50% Alt & Full Doc with score < 680 = 50% DTIs > 45% must meet residual income requirements	LTV > 85% = 45% LTV ≤ 85% = 50% DTIs > 45% must meet residual income requirements	50% DTI > 50% up to 55% allowed with minimum 700 fico, max LTV/CLTV 80%, primary only, no FTHB, 1.5X residual income met. DTIs > 45% must meet residual income requirements
Mortgage/Housing History	0x90x12 Rent free not allowed	0x30x12 Rent free not allowed	0x30x12 Rent free allowed
Seasoning on Major Derogatory Events:	Bankruptcies: 12 months Foreclosure, Short Sale, Deed-in-lieu: Must be settled at time of closing if single event. (Note: must meet mortgage payment history requirements). If multiple events, 3-year seasoning.	Bankruptcies: 4 years Foreclosure, Short Sale, Deed-in-lieu: 4 years	Bankruptcies: 4 years Foreclosure, Short Sale, Deed-in-lieu: 4 years

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Alternative Income Documentation	Alternative Income Documentation allows 1 year of income documentation on wage earners and self-employed.	For self-employed borrowers only: - Uses either 12 months personal bank statements or 12 months business bank statements to qualify. - Supplemental income such as social security income, pension, co-borrower with W-2 income, etc. is allowed to qualify.	Alternative Income Documentation allows 1 year of income documentation on wage earners and self-employed.
Asset Depletion	Total of eligible assets divided by 120 months. Eligible assets: 100% value of checking, savings & money market accounts 85% of stocks, bonds, mutual funds, & CDs 80% for all retirement assets regardless of age. Must meet FNMA criteria for unrestricted access.	Not allowed	Total of eligible assets divided by 84 months. 100% value of checking, savings & money market accounts 80% of stocks, bonds, mutual funds, & CDs 70% for all vested retirement assets - Minimum asset requirements must be met. - No reserves required Additional restrictions: - Purchase or R/T refi only - Max 85% LTV/CLTV - Min 700 score - Primary residence only
1099 Income	1099 income treated as self-employed.	Single payer 1099 with no expenses, can use the 1099 income to qualify (similar to wage earner). 1099s plus two most recent paystubs with YTD income. 1099 transcripts required. - Single payer 1099 with variable income or multiple 1099s, must follow bank statement requirements.	Single payer 1099 with no expenses, can use the 1099 income to qualify (similar to wage earner). 1099s plus most recent paystub with YTD income or 3 months bank statements. 1099 transcripts required.
Rental Income	- Requires two year history of receipt. - Departing residence rental income allowed if two year history of managing rentals.	- Allowed as component income only. May not be the source of income for the business. - Requires current lease and evidence the most recent two month's receipt of rents - Departing residence rental allowed with the following: - Evidence the lease is supported market rents - Copy of security deposit or first month's rent	- Follow Non-Agency guides. - Departing residence with no lease feature. Must have documented 20% equity, market rent survey, letter of intent to rent or sale, rental income can only offset PITIA, additional reserves required.
RSU Income	Allowed, follow guide posted in the product description.	Not allowed	Allowed, follow Non-Agency guides.

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Gifts	Gift funds: - Borrower must contribute at least 3% from their own funds, regardless of LTV/CLTV. - Gift funds not allowed on investment properties. - Gift of Equity allowed.	Gift funds: - Minimum borrower contribution: - LTV > 80%: 10% of own funds documented but not required to use. - LTV < 80%: 5% of own funds documented but not required to use. - Gift funds not allowed on investment properties. - Gift of Equity: - Max 75% LTV - Primary residence only	Gift funds: - Minimum borrower contribution: - LTV > 80%: 5% from own funds - LTV < 80%: no minimum contribution - Gift funds allowed on investment properties with LTV/CLTV is <=80%. - Gift of Equity not allowed.
Reserves	- Primary up to \$1.5M = 6 months - Primary >\$1.5M - \$3M = 12 months - Second Home = 12 months - Investment = 12 months	- Primary up to \$1.5M = 6 months - Primary >\$1.5M - \$3M = 12 months - Second Home = 12 months - Investment = 12 months	All Occupancy types: ≤\$1M = 6 months >\$1M - \$2M = 9 months >\$2M - \$3M = 12 months Proceeds from a cash out refinance may be used to meet the reserve requirement.
Retirement funds for Reserves	Retirement Funds for Reserves: - Uses 60% of vested amount. - Not more than 50% of the reserves can come from retirement unless of retirement age. If retirement age, all reserves can come from retirement accounts (as long as not an income source)	Retirement Funds for Reserves: - Uses 60% of vested amount. - Not more than 50% of the reserves can come from retirement unless of retirement age. If retirement age, all reserves can come from retirement accounts (as long as not an income source)	Retirement Funds for Reserves: - Uses 100% of vested amount. - No limit on amount of retirement funds used for reserves.
Non-Occupant Co-borrower	Not allowed to qualify	Not allowed to qualify	Non-occupant co-borrowers allowed to qualify if all of the following met: - Primary residence, 1 unit only - Non-occupant must be a relative - Minimum 5% borrower contribution - Max 80% LTV/CLTV - Purchase & R/T refi only - Min 700 score - Must be an arm’s length transaction
CONTACT INFORMATION	Name: Phone:	Title: Email:	tpo.flagstar.com Cust Svc: (866) 945-9872

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